Harvard Business School Online

Marketing Terms Cheat Sheet

Understanding key marketing concepts and metrics is essential for making informed decisions that drive growth and engagement. Whether launching a new business, analyzing campaign performance, or optimizing your brand messaging, having a clear grasp of marketing terms allows you to measure success and identify improvement areas.

This go-to cheat sheet defines core marketing principles and performance indicators—helping you stay data-driven and results-focused in a competitive digital landscape.

Key Marketing Terms

A/B Testing: Creating two slightly different versions of marketing content, such as an email campaign or social media ad, to test which performs better.

Affiliate Marketing: A system in which an external party agrees to perform marketing duties in exchange for a percentage of the resulting profits.

Attribution: Identifying which marketing efforts contributed to a certain outcome. There are many ways to approach attribution, including::

- **First Touch:** Attributes 100% of a sale to the first ad that a customer was exposed to.
- **Last Touch:** Attributes 100% of a sale to the last ad a customer was exposed to.
- **Linear:** Gives equal weight to all the ads a customer was exposed to.
- **Time Decay:** Gives more weight to the ads seen more recently by the customer.
- **Position-Based:** Takes all ads into account but weighs the first and last ads higher.

Brand: A name, term, design, symbol, or other feature that identifies your product or service as distinct from competitors. A brand is also a meaning-based asset that plays cognitive, emotional, social, and cultural roles.

Brand Awareness: The level of consumer recognition and familiarity with your brand. There are two types of brand awareness, including:

- **Aided:** When consumers can recall your brand when prompted.
- **Unaided:** When consumers can recall your brand without prompting.

Brand-Building: The process of building broader awareness and knowledge of your brand among consumers; it's typically a longer-term tactic.

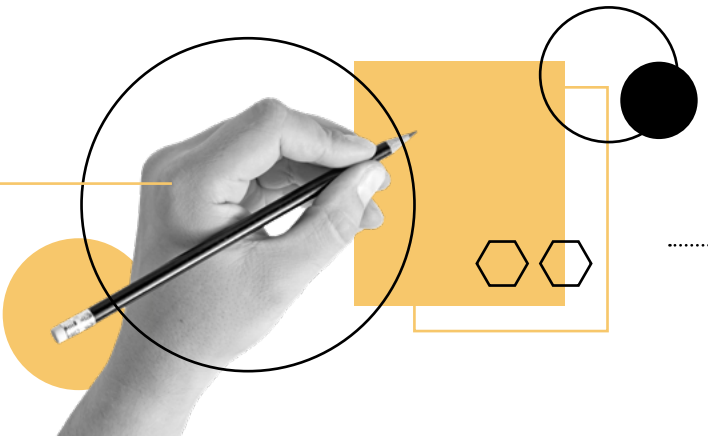
Buying Journey: A potential customer's path from initial awareness of your product or service to eventual purchase.

Cross-Selling: A strategy that involves promoting additional products or services to existing consumers to increase revenue per customer.

Customer Churn: The rate customers stop doing business with your company over a given period. It's inversely proportional to customer retention.

Customer Retention: Your company's ability to maintain long-term customer relationships by delivering consistent value and positive experiences that drive satisfaction and loyalty.

Customer Value Proposition (CVP): A marketing statement that explains why a customer should choose your brand over competitors, highlighting the value it promises to deliver.



Earned Media: Unpaid, third-party exposure, such as press mentions, reviews, or social media shares.

Impressions: The number of times an advertisement or content is displayed to users, regardless of whether they interact with it.

Influencer: Also known as a key opinion leader (KOL), an individual with the power to affect others' purchasing decisions due to their authority, knowledge, position, or relationship with their audience—often through social media or other online platforms.

Jobs-to-be-Done: A framework for understanding your customers' needs based on the outcome they want to accomplish.

Key Performance Indicators (KPIs): Quantifiable metrics used to track your marketing efforts' effectiveness. KPIs are crucial in assessing your business's strategic, financial, and operational achievements, offering insights into your position relative to others in the same sector.

Market Share: The percent of total sales in a given market or industry accounted for by a particular company.

Marketing Channel: The platform or method used to deliver messages and connect with target consumers.

Marketing Mix: The combination of elements—product, price, place, and promotion—that a company uses to market its products or services to a target audience effectively.

- **Product:** The solution to a customer's need and its differentiation from competitors.
- **Price:** The sale price, which should reflect consumers' willingness to pay for a product.
- **Place:** A product's distribution strategy. For example, is it a direct-to-consumer product that can only be purchased online, or is it available in stores?
- **Promotion:** The marketing channels a company chooses to communicate its message.

Minimum Viable Product (MVP): A product prototype designed to test ideas and gather insights with minimal resources.

Owned Media: Content created and distributed by a brand through its company-owned and -directed assets and channels, such as its website, social media accounts, retail locations, sales team, and catalogs.

Paid Media: A method of content promotion and advertising a brand pays to distribute through third-party channels, such as television, print, radio, or outdoor advertising. The brand controls the message and placement by contracting the media and developing the creative.

Perceptual Mapping: A visual representation of how consumers perceive brands in a product category, allowing you to understand the competitive landscape, identify industry rivals, and make strategic decisions. Consumers compare brands across attributes, such as cost and quality, to create a visual map of perceived differences in the market.

Performance Marketing: Marketing activities focused on driving quantifiable metrics, such as sales, primarily at the bottom of the funnel to push consumers toward purchase.

Primary Demand: The demand for an entire product category.

Product Differentiation: A marketing strategy where you distinguish your product from competitors' by highlighting its unique features, benefits, and attributes to appeal to a specific target market.

Product-Market Fit (PMF): The point at which a product satisfies market demand and is valuable to customers and profitable for your business.

Retargeting: A digital marketing tactic that involves contacting consumers who've previously interacted with your company, often through paid media, to reengage them.

Sales or Marketing Funnel: A model representing a customer's journey from awareness to purchase. These representations often vary, but most of them contain these basic elements:

- **Top of the Funnel:** The first stage representing the beginning of a customer's journey, often referred to as "awareness" or "discovery".
- **Middle of the Funnel:** The middle stage of a customer's journey, where they're considering your product and comparing it against the competition. This phase is often called "evaluation," "consideration," or "interest."
- **Bottom of the Funnel:** The last stage that represents a customer's final action, often referred to as "purchase," "decision," or "conversion."

Segmentation: The process of grouping consumers with similar needs and preferences; these groups are commonly known as "segments."

Search Engine Marketing (SEM): Also known as paid search, a digital marketing strategy that involves promoting websites by increasing their visibility in search engine results pages through paid advertising and optimization techniques.

Search Engine Optimization (SEO): The practice of optimizing websites to improve their ranking in organic (non-paid) search engine results.

Upselling: The strategy of encouraging existing customers to buy upgraded or premium versions of the products or services they initially purchased to increase the average transaction value.

Marketing Metrics and Formulas

Customer Acquisition Cost (CAC):
The cost of acquiring a new customer.

CAC = Ad Spend / New Customers

Conversion Rate (CVR):
The ratio of consumers that completed some action—usually purchasing your product—after clicking on an ad.

CVR = Actions / Clicks

Cost Per Click (CPC):
The cost to get a click on a paid digital ad.

CPC = Ad Spend / Clicks

Cost Per Mille (CPM):
The cost of acquiring one thousand impressions.

CPM = (Ad Spend / Impressions) x 1,000

Cost Per Order (CPO):
The cost it takes to get an order.

CPO = Ad Spend / Orders

Click-Through Rate (CTR):
The percentage of users who click on a specific link or advertisement relative to the total impressions.

CTR = Clicks / Impressions

Customer Lifetime Value (LTV or CLV): The projected total revenue and profit your business can expect to earn from a customer throughout their relationship.

LTV = m x T

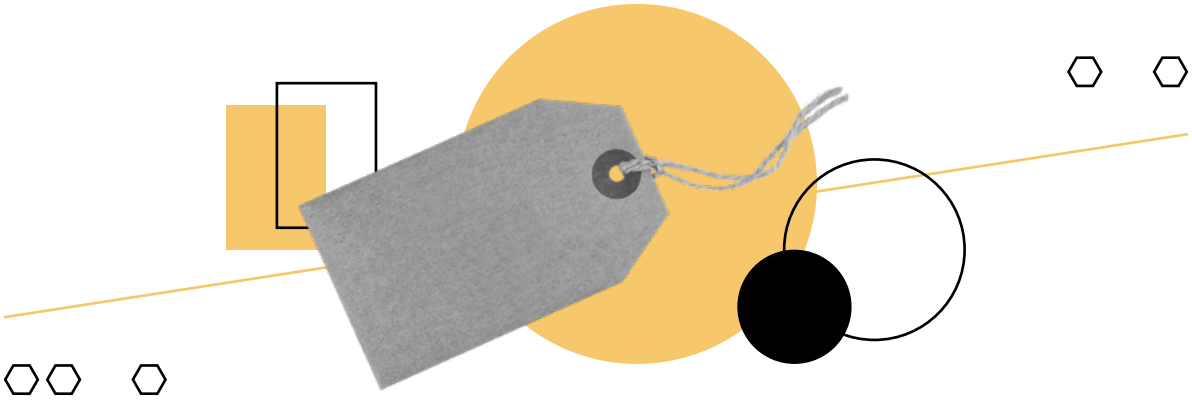
Where **m = annual contribution margin** and **T = customer lifetime**

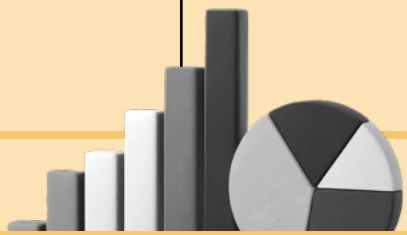
Return on Ad Spend (ROAS): The revenue generated for each dollar spent on advertising.

ROAS = Revenue / Ad Spend

Return on Investment (ROI):
The net profit gained from each dollar invested in marketing or advertisement.

ROI = (Profit – Ad Spend) / Ad Spend





Are you interested in diving deeper and building your marketing skills?

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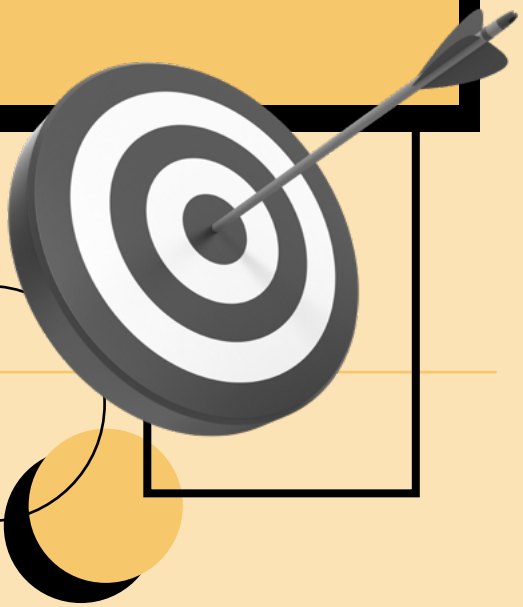
- **Digital Marketing Strategy**, for a well-rounded overview of marketing in the digital world.
- **Entrepreneurial Marketing**, for a more focused experience on marketing for new ventures.
- **Creating Brand Value**, for a deep dive into brand-building.
- **Personal Branding**, to learn how to leverage your personal brand for professional success.

Not sure which course is right for your goals? Download our **free flowchart**.

You might also consider pursuing a **Learning Track**, which enables you to take three HBS Online courses within the marketing subject area and earn an advanced **Certificate of Specialization**.

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